6-1d MNE versus non-MNE

An MNE, by definition, is a firm that engages in FDI when doing business abroad. An MNE is sometimes called a multinational corporation (MNC) or a transnational corporation (TNC). To avoid confusion, we will stick with the term “MNE” throughout the book. Note that non-MNE firms can also do business abroad, by

(1) exporting and importing,

(2) licensing and franchising,

(3) outsourcing,

(4) engaging in FPI, or other means.

What sets MNEs apart from non-MNEs is FDI. An exporter has to undertake FDI in order to become an MNE. In other words, BMW would not be an MNE if it made all its cars in Germany and exported them around the world. BMW became an MNE only when it started to directly invest abroad.

Although a lot of people believe that MNEs are a new organizational form that emerged recently, that is not true. MNEs have existed for at least 2,000 years, with some of the earliest traces discovered in the Assyrian, Phoenician, and Roman times. In 1903 when Ford Motor Company was founded, it exported its sixth car. Ford almost immediately engaged in FDI by having a factory in Canada that produced its first output in 1904. It is true that MNEs have experienced significant growth since World War II. In 1970, there were approximately 7,000 MNEs worldwide. By 2010, more than 82,000 MNEs managed approximately 810,000 foreign affiliates. Clearly, there is a proliferation of MNEs lately.

Chapter 6: Investing Abroad Directly: 6-1d MNE versus non-MNE
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